

with the ability to transact globally, and those more obviously wrong but completely unhedgeable. Graham and Dodd describe some historical reasons for these discrepancies, including both asynchronous reporting of financial results and opaque dissemination of contractual details. Many decades have passed since their writing, yet amazingly, each category of price disparities remains alive and well today. Along the way we have learned how to think about these discrepancies more systematically. One of the most fascinating developments in the last several decades is the integration of Graham and Dodd's ideas with modern finance. The themes that they sounded and the illustrations they provided have clear counterparts in today's financial economics and well as in the practice of financial management and arbitrage.

Graham and Dodd bring several broad ideas to life. First, the "law of one price" is often violated in financial markets. Identical, or very similar, assets trade at different prices in different markets, whether defined by currencies, exchanges, instruments used, or other domains of differentiation.

Second, the sources of these deviations vary. Sometimes they occur because one market is dominated by a set of investors who are less involved in other markets. In fixed-income markets, the reasons for the deviations from the law of one price often have to do with professional investment manager mandates and tendencies to track a benchmark. Some securities are included in indexes, for example, and as such become overpriced relative to very similar securities that are not part of those indexes. Some standardized securities are preferred by institutional investors, relative to other more complicated instruments. Today, portfolios of securities can increasingly be replicated (with better prospective returns) by using portfolios of other securities and instruments that trade at a lower valuation for what are effectively the same expected returns.